

Stop Debt Collectors Cold

“Mean, gritty, dirty and low”

~ description of a movie called *The Debt Collector*

Debt collection agencies pretty much operate in one of two ways. The credit card company may hire them to be the hit man, the guy who threatens cement shoes unless you pay up. When the debt collection agency is hired as the bounty hunter, the collector gets paid a percentage of what they collect from you. The more money that they can wring out of you, by any tactic, the more money they make in their commission fee. They turn over the collected money to the creditor and they pocket their fee.

Sometimes the credit card company sells the debt to a debt collector. This practice is becoming more and more common. “Debt buying” is turning into a profitable venture for a lot of corrupt schemers. Basically, the credit card company sells the right to collect on the debt, and the agency then gets to keep whatever it collects from you. The creditor gets his money up front and is done with it. So again, the more money that the collector can squeeze from you, the more money that goes into their velvet-lined cash boxes. The agents that work for the debt collection companies are typically paid on commission, so the more they pull out of you, the more they get, and the more the company